

25 Sep 2026 10:04:52 ET | 17 pages

Formosa Petrochemical (6505.TW)

Upgrade to Buy: Superior Margin on Tanker Fleet + High Export Ratio

CITI'S TAKE

We upgrade FPCC from Neutral to Buy reflecting its unique exposure with in-house VLCC shipping fleet covering ~60-70% of oil transportation (least impacted by recent spot freight rate spike) and highest diesel export ratio (~85% vs. 60% for S-Oil/SKI and 5-10% for TOP/SPRC). We see manageable impact from CPC's pump price freeze (minimal margin squeeze at ~\$80/bbl Dubai) while FPCC is also a beneficiary of any potential US diesel export restriction ([link](#)). We expect FPCC to offer the highest 26-27E dividend yield (~7-8%) among 4 Formosa sisters and a premium valuation seems justified vs. Asian peers. We think oil product tightness might take longer to resolve given extensive Russia refinery outages. New TP at NT\$108 (from NT\$40).

Quantifying impact of domestic price cap — Taiwan's CPC indicates its retail price absorption reached NT\$22bn cumulative YTD (Fig.1) vs. NT\$17bn in end-Jun and we estimate ~NT\$7bn in Sep alone (similar to Mar peak). FPCC has 22% Taiwan market share and 2025 domestic gasoline & diesel volume was 35k/17k b/d or 12% of CDU runs subject to price control (vs. ~18% for S-Oil/SKI, 35% for Thai peers). Assuming oil price stays at \$100 until end-4Q, we estimate 2H26 domestic forgone EBIT could be similar to 1H (~NT\$5bn) or ~US\$2/bbl overall GRM drag. But this was more than compensated by SG product crack strength with 2025 gasoline/diesel/jet export ratios of 59%/86%/99%, respectively.

Buffered from current \$20+ spot VLCC rate — FPCC is one of the very few refiners that owns vessels (through 20% stake in Formosa Plastics Marine that has 6 VLCCs). We expect it could enjoy stable freight cost under LT time chartering. We also see lower concern on crude sourcing from SoH disruption in 3Q noting Jul/Aug refinery runs were 88%/92%. But we see pullback into 4Q (mid-70%) on maintenance.

Improved olefin competitiveness from 2027 — We expect FPCC could raise cracker utilisation next year (33% average since 2Q) after partial conversion to ethane feed (up to ~400kt pa usage or ~20% of output) with minimal capex.

Implications — Our revised TP of NT\$108 is based on historical peak 2.3x P/BV (core book) at ~50% premium to Korean peer S-Oil given limited free float and MTM for affiliates (its 7.9% stake in Nanya Tech is worth NT\$14/share based on market price). Our sensitivity analysis suggests a \$5 diesel crack rise vs. our mid-\$30/bbl base case will raise FY27E EPS by ~10%.

Earnings Summary

Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	5,971	0.63	-72.7	139.1	2.8	1.9	0.9
2025A	9,875	1.04	65.4	84.1	2.3	3.0	1.4
2026E	78,274	8.22	692.6	10.6	1.5	17.5	7.8
2027E	64,221	6.74	-18.0	12.9	1.5	11.9	6.7
2028E	57,157	6.00	-11.0	14.5	1.5	10.6	6.2

Source: Powered by dataCentral

Buy ↑ from Neutral

Price (24 Sep 26 13:30)	NT\$87.20
Target price	NT\$108.00↑
	from NT\$40.00
Expected share price return	23.9%
Expected dividend yield	7.8%
Expected total return	31.7%
Market Cap	NT\$830,664M
	US\$26,126M

Price Performance

(RIC: 6505.TW, BB: 6505 TT)



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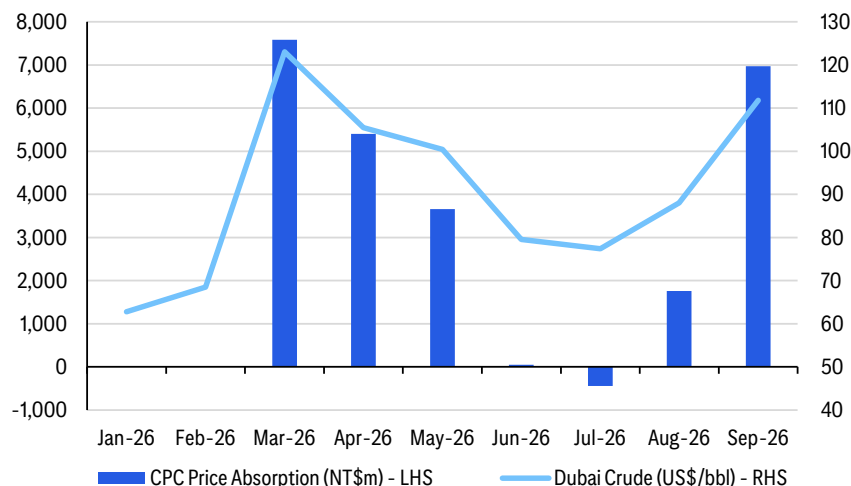
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

6505.TW: Fiscal year end 31-Dec						Price: NT\$87.20; TP: NT\$108.00; Market Cap: NT\$830,664m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	663,823	626,159	650,923	617,029	613,461	PE (x)	na	84.1	10.6	12.9	14.5
Cost of sales	-653,509	-604,091	-547,021	-538,912	-546,762	PB (x)	2.8	2.3	1.5	1.5	1.5
Gross profit	10,314	22,068	103,901	78,117	66,699	EV/EBITDA (x)	58.3	29.1	5.4	6.2	7.4
Gross Margin (%)	1.6	3.5	16.0	12.7	10.9	FCF yield (%)	0.0	5.4	15.2	12.5	7.9
EBITDA (Adj)	12,316	24,042	105,344	79,062	67,128	Dividend yield (%)	0.9	1.4	7.8	6.7	6.2
EBITDA Margin (Adj) (%)	1.9	3.8	16.2	12.8	10.9	Payout ratio (%)	128	116	83	86	90
Depreciation	-12,967	-13,163	-12,750	-12,429	-12,093	ROE (%)	1.9	3.0	17.5	11.9	10.6
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	-651	10,879	92,594	66,633	55,036	EBITDA	12,316	24,042	105,344	79,062	67,128
EBIT Margin (Adj) (%)	-0.1	1.7	14.2	10.8	9.0	Working capital	-4,379	24,517	-11,883	5,932	625
Net interest	422	476	1,181	1,706	1,771	Other	1,266	3,074	49,170	35,790	25,985
Associates	1,867	-361	-726	6,850	9,312	Operating cashflow	9,202	51,633	142,631	120,785	93,738
Non-Op/Except/Other Adj	4,929	1,718	5,100	3,500	3,500	Capex	-9,484	-6,488	-16,600	-17,200	-28,000
Pre-tax profit	6,567	12,712	98,149	78,689	69,619	Net acq/disposals	-2,555	9,246	-2,000	-3,000	-3,000
Tax	-756	-2,837	-19,875	-14,468	-12,461	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	160	1	0	0	0	Investing cashflow	-12,039	2,758	-18,600	-20,200	-31,000
Reported net profit	5,971	9,875	78,274	64,221	57,157	Dividends paid	-19,052	-7,619	-11,431	-64,777	-55,251
Net Margin (%)	0.9	1.6	12.0	10.4	9.3	Financing cashflow	-15,167	-21,556	-11,257	-67,777	-60,251
Core NPAT	5,971	9,875	78,274	64,221	57,157	Net change in cash	-14,919	32,677	114,274	34,008	3,687
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-281	45,145	126,031	103,585	65,738
Reported EPS (\$)	0.63	1.04	8.22	6.74	6.00						
Core EPS (\$)	0.63	1.04	8.22	6.74	6.00						
DPS (\$)	0.80	1.20	6.80	5.80	5.40						
CFPS (\$)	0.97	5.42	14.97	12.68	9.84						
FCFPS (\$)	-0.03	4.74	13.23	10.87	6.90						
BVPS (\$)	31.17	37.35	56.77	56.71	56.91						
Wtd avg ord shares (m)	9,526	9,526	9,526	9,526	9,526						
Wtd avg diluted shares (m)	9,526	9,526	9,526	9,526	9,526						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-6.8	-5.7	4.0	-5.2	-0.6						
EBIT (Adj) (%)	-104.2	na	751.1	-28.0	-17.4						
Core NPAT (%)	-72.7	65.4	692.6	-18.0	-11.0						
Core EPS (%)	-72.7	65.4	692.6	-18.0	-11.0						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	51,223	124,003	293,370	282,226	252,938						
Accounts receivables	54,983	51,424	53,458	50,675	50,382						
Inventory	77,546	65,291	80,251	76,072	75,632						
Net fixed & other tangibles	87,535	85,842	89,692	94,463	110,370						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	99,912	89,901	90,528	98,429	109,252						
Total assets	371,200	416,461	607,299	601,865	598,574						
Accounts payable	27,383	26,325	17,833	16,905	16,807						
Short-term debt	17,166	8,942	0	0	0						
Long-term debt	15,466	8,884	18,000	15,000	10,000						
Provisions & other liab	8,938	11,065	25,195	24,245	24,145						
Total liabilities	68,953	55,216	61,029	56,150	50,952						
Shareholders' equity	296,961	355,792	540,817	540,262	542,169						
Minority interests	5,286	5,453	5,453	5,453	5,453						
Total equity	302,247	361,245	546,270	545,715	547,622						
Net debt (Adj)	-18,591	-106,178	-275,370	-267,226	-242,938						
Net debt to equity (Adj) (%)	-6.2	-29.4	-50.4	-49.0	-44.4						
For definitions of the items in this table, please click here .											

In Taiwan, state-owned Chinese Petroleum Corp (CPC) announces retail price adjustment on a weekly basis based on government's fuel pricing formula (linked to 70% Dubai / 30% Brent crude basket adjusted for exchange rate) but with higher absorption amount as oil goes higher. FPCC tends to follow suit. CPC's domestic price absorption was minimal in Jun-Jul'26 when Dubai price falls to ~\$80/bbl or below. However, there was a price freeze last week despite crude basket surged another \$10/bbl WoW to \$126/bbl.

Figure 1. CPC Domestic Price Absorption (NT\$m) vs. Dubai Crude (US\$/bbl)

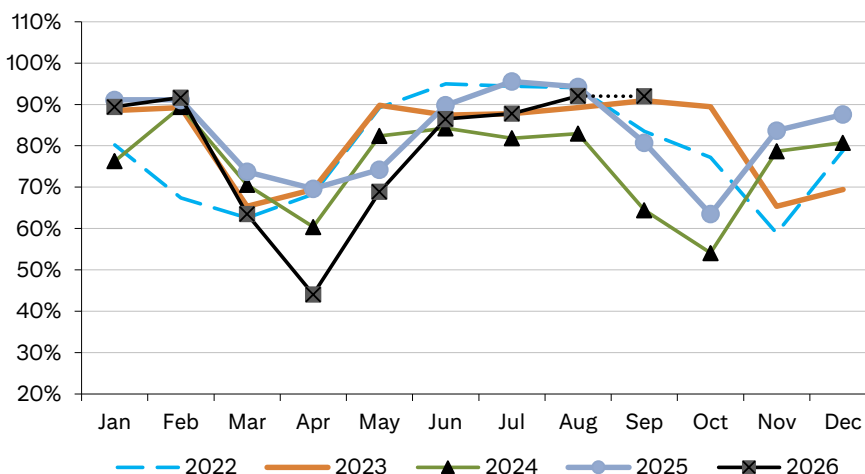


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FPCC has ~22% domestic market share in gas stations while state-owned CPC controls the rest.

Source: Company Reports, Bloomberg, Citi Research Estimates

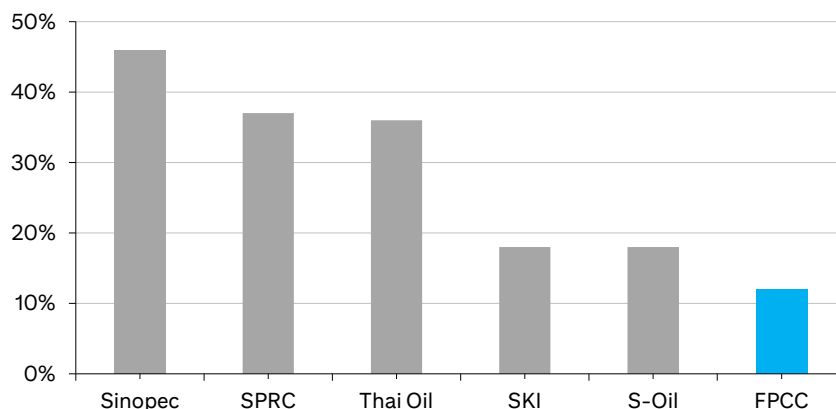
Figure 2. FPCC Refinery Utilisation (%)



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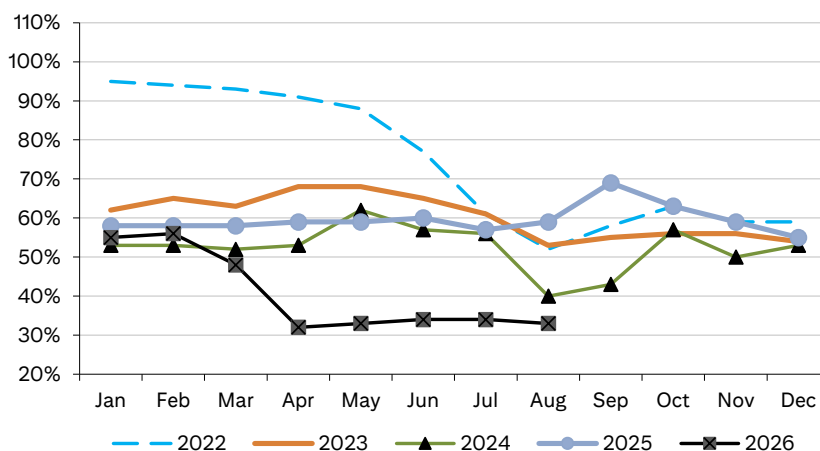
Source: Company Reports, Citi Research

Figure 3. Domestic Sales Volume Subject to Price Control (% of Total)



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Source: Company Reports, Citi Research

Figure 4. FPCC Olefins Cracker Utilisation (%)



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Source: Company Reports, Citi Research

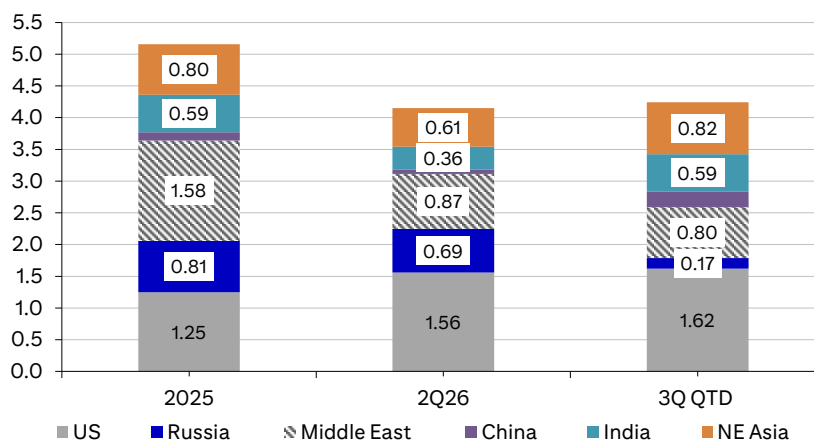
We raise FY26-27E EPS from NT\$1.69/2.05 to NT\$8.22/6.74 reflecting our latest assumptions (mark-to-market margins and a full GRM normalization by 2028E) after incorporating financial results and guidance. We also factor in inventory loss for 4Q26/2027E based on Citi Commodities Team's Brent crude price forecasts of \$65/bbl next year ([link](#)).

Figure 5. EPS Forecast Changes (NT\$/share)

	New	Old	Change %
- FY26E	8.22	1.69	386
- FY27E	6.74	2.05	229
- FY28E	6.00	n/a	n/a

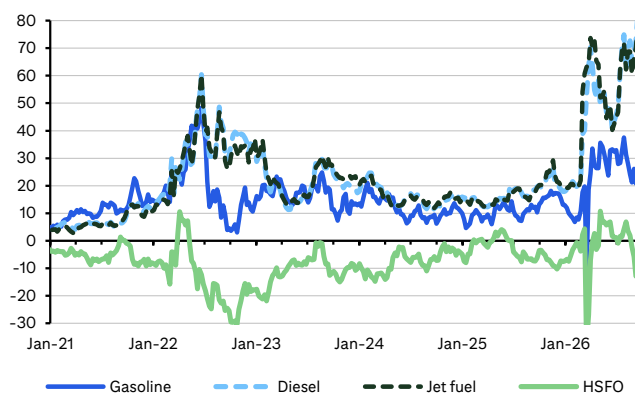
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Source: Citi Research Estimates

Figure 6. Diesel Exports (Gross) from Selected Key Exporters (million b/d)



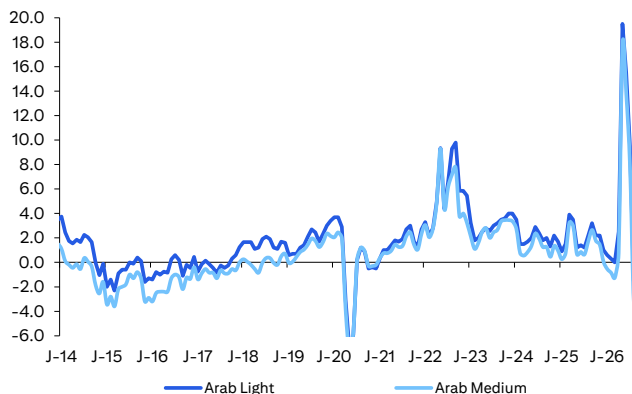
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Source: IEA, FGE, Citi Research

Figure 7. Asian Oil Product Crack vs. Dubai (US\$/bbl)



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Source: Reuters, Bloomberg, Citi Research

Figure 8. Middle East Crude Oil OSP (US\$/bbl)



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Source: Reuters, Bloomberg, Citi Research

Companies Mentioned:

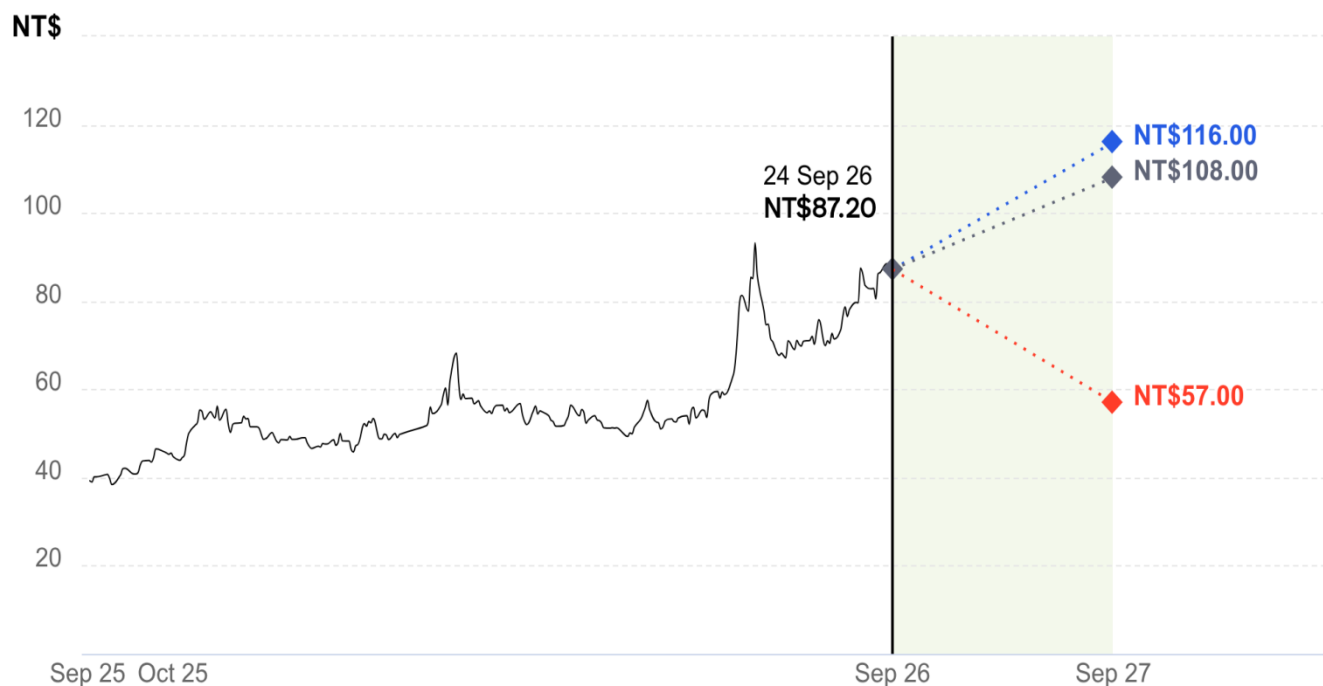
Nanya Technology (2408.TW; NT\$503.0; 3; 24 Sep 26; 13:30)
S-Oil (010950.KS; W155600.0; 1; 23 Sep 26; 15:45)
Sinopec (0386.HK; HK\$4.43; 1; 25 Sep 26; 16:10)
Sinopec (600028.SS; Rmb5.32; 3; 24 Sep 26; 15:00)
SK Innovation (096770.KS; W149200.0; 3H; 23 Sep 26; 15:45)
Star Petroleum Refining (SPRC.BK; Bt14.2; 1; 25 Sep 26; 17:00)
Thai Oil (TOP.BK; Bt69.25; 1; 25 Sep 26; 17:00)

Bull/Bear: Formosa Petrochemical (6505.TW)

NT\$ **116.00**
▲ 33% Upside

NT\$ **108.00**
▲ 24% Upside

NT\$ **57.00**
▼ 35% Downside



Spread 68pp
Current Price and expected returns (upside/downside) as of 24 Sep 2026



BULL Assumptions

- Our bull case factors in \$1/bbl higher GRM vs. our base case on stronger global demand outlook.

BASE Assumptions



- Our base case factors in realised export GRM of ~US\$28/21/14 per bbl in 2026-28E (2022: \$14, 2023-25:: \$7-9) and Singapore GRM of \$15.0/10.1/7.0.
- Ethylene-naphtha spread of ~\$300/t in 2026-28E.



BEAR Assumptions

- Our bear case assumes GRM to return to 2020 trough level.

Formosa Petrochemical

Company description

Formosa Petrochemical (FPCC) is part of the Formosa Group in Taiwan. It owns a 540,000 b/d refinery, 2.9m tonnes of ethylene capacity from three naphtha crackers, and a 2,800MW cogeneration power plant. It was set up when the Taiwan government approved expansion of the private sector into the oil refining and upstream chemical business.

Investment strategy

We rate Formosa Petrochemical stock a Buy. Despite a likely gradual GRM normalisation ahead (dependent on Middle East / Russia supply disruptions), we expect oil product tightness might take longer to resolve vs. crude oil market. Its gasoline/diesel export ratio was the highest among Asian peers, which should more than buffer margin squeeze from domestic pump control. FPCC was the least impacted by recent spot freight rate spike given in-house VLCC shipping fleet. While we remain concerned about an L-shaped ethylene cycle in the next 2-3 years, FPCC could enjoy better cost competitiveness as ~20% of olefin cracker feedstock will shift to ethane from early-2027 with minimal capex. The LT refining outlook could remain solid due to permanent closures in the US/Europe. Healthy dividend yield (likely to be the highest among 4 Formosa sisters in FY26E), stable utility earnings and the stock's relatively low free float (15%) vs. its peers could provide further support.

Valuation

Our NT\$108 target price for Formosa Petrochemical is based on historical peak-cycle 2.3x FY27E P/BV with adjusted book value excluding valuation gain of affiliates, ~50% premium to Korean peer S-Oil implied from our TP given limited free float and MTM for affiliates. We use P/BV as our valuation methodology due to the asset-heavy nature of the business, and factor in its scarcity premium vs. regional peers as the only energy play in Taiwan.

Risks

Key downside risks that could impede the shares from reaching our target price include: 1) weaker-than-expected oil and/or chemical demand; and 2) Taiwan government intervention on CPC's oil products pricing mechanism.

Key upside risks are: 1) extended refinery outages in the Middle East / Russia, 2) stronger global oil demand growth; 3) robust chemical re-stocking in China; and 4) a short-term spike in refining margins on any unscheduled shutdowns or for weather-related reasons (e.g., cold winter).

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

SK Innovation (096770.KS)

Ratings and Target Price History
Fundamental Research

Analyst: Oscar Yee



	Date	Rating	Target Price	Closing Price
1	03-Nov-23 18:18:15	2H	*160,000.00	137,100.00
2	07-Feb-24 01:31:25	2H	*135,000.00	121,000.00
3	06-Jun-24 03:35:41	2H	*120,000.00	103,600.00

	Date	Rating	Target Price	Closing Price
4	17-Jul-24 16:11:09	*3H	*100,000.00	119,700.00
5	25-Mar-25 22:09:27	*--	-	124,100.00
6	03-Feb-26 11:49:09	*3H	*90,000.00	109,500.00

	Date	Rating	Target Price	Closing Price
7	31-Aug-26 09:40:42	3H	*106,000.00	125,500.00

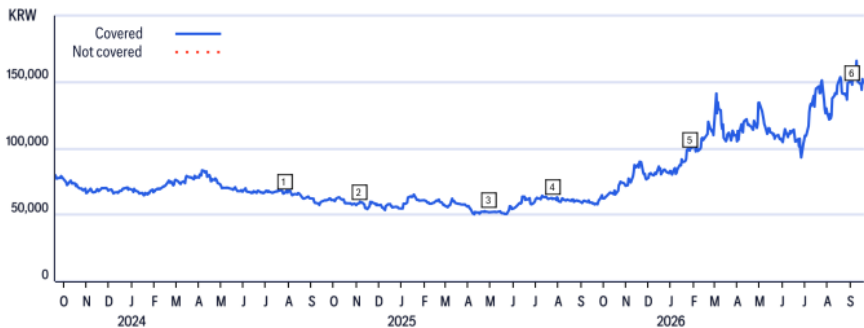
*Indicates Change

Rating/target price changes above reflect Eastern Time

S-Oil (010950.KS)

Ratings and Target Price History
Fundamental Research

Analyst: Oscar Yee



	Date	Rating	Target Price	Closing Price
1	26-Jul-24 07:00:36	1	*84,000.00	66,400.00
2	04-Nov-24 08:50:48	1	*70,000.00	58,800.00

	Date	Rating	Target Price	Closing Price
3	28-Apr-25 02:31:25	1	*63,000.00	52,100.00
4	25-Jul-25 06:35:07	1	*72,000.00	62,300.00

	Date	Rating	Target Price	Closing Price
5	26-Jan-26 17:56:32	*3	*84,000.00	98,300.00
6	03-Sep-26 13:34:21	*1	*200,000.00	147,900.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Formosa Petrochemical (6505.TW)

Ratings and Target Price History Fundamental Research

Analyst: Oscar Yee



	Date	Rating	Target Price	Closing Price
1	11-Apr-24 05:04:38	1	*90.00	73.30

	Date	Rating	Target Price	Closing Price
2	10-Jul-24 21:44:18	*3	*55.00	63.70

	Date	Rating	Target Price	Closing Price
3	10-Dec-24 12:50:28	*2	*40.00	39.50

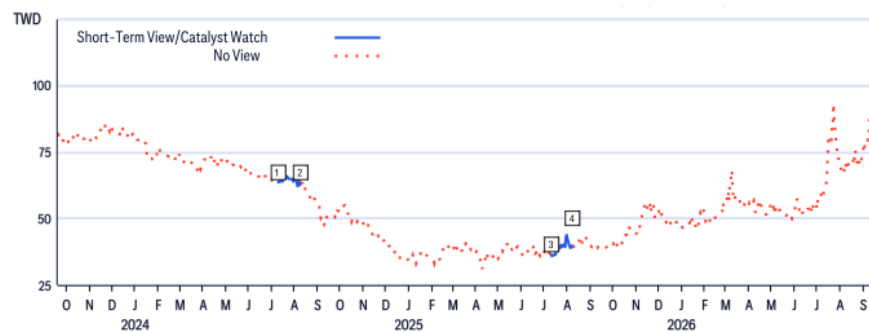
*Indicates Change

Rating/target price changes above reflect Eastern Time

Formosa Petrochemical (6505.TW)

Short-Term View/Catalyst Watch Research

Analyst: Oscar Yee



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-24 17:44:18	Add STV	Downside	30 Days	63.70
2	09-Aug-24 14:12:37	Remove STV	Downside	30 Days	63.60

	Date	Action	Expected Direction	Duration	Closing Price
3	10-Jul-25 17:31:15	Add STV	Upside	30 Days	36.50
4	08-Aug-25 14:18:44	Remove STV	Upside	30 Days	39.25

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

S-Oil (010950.KS)

Short-Term View/Catalyst Watch Research

Analyst: Oscar Yee



	Date	Action	Expected Direction	Duration	Closing Price
1	27-Feb-24 05:07:47	Add CW	Upside	30 Days	72,800.00
2	28-Mar-24 22:47:23	Remove CW	Upside	30 Days	77,900.00

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Nov-24 23:34:52	Add CW	Upside	30 Days	54,300.00
4	18-Dec-24 20:59:26	Remove CW	Upside	30 Days	56,500.00

	Date	Action	Expected Direction	Duration	Closing Price
5	26-Mar-26 15:20:20	Add CW	Downside	30 Days	112,300.00
6	24-Apr-26 14:21:02	Remove CW	Downside	30 Days	119,400.00

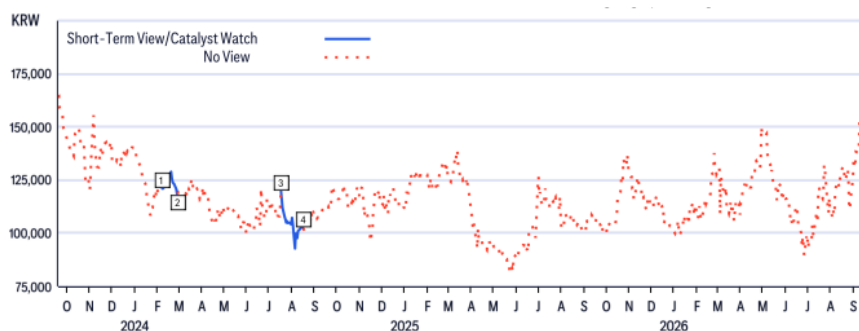
CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

SK Innovation (096770.KS)

Short-Term View/Catalyst Watch Research

Analyst: Oscar Yee



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Feb-24 11:02:49	Add CW	Downside	30 Days	121,000.00
2	28-Feb-24 03:06:38	Remove CW	Downside	30 Days	119,600.00
3	17-Jul-24 12:11:09	Add CW	Downside	30 Days	119,700.00
4	16-Aug-24 14:15:28	Remove CW	Downside	30 Days	102,300.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of China Petroleum and Chemical Corporation on at least one occasion since 1 Jan 2025.

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Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from S-Oil, SK Innovation, Sinopec.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Formosa Petrochemical, Nanya Technology, S-Oil, SK Innovation, Sinopec, Star Petroleum Refining, Thai Oil in the past 12 months.

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